

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: July 20, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-20

OVERWEIGHT

Composite · Valuation: HOLD

Target \$1240.46 · +6.3% upside

Price \$1166.47

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$1240.46 (+6.3% vs \$1166.47); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$1240.46	45%
FSA	Stable	Health -0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +52%	15%
Composite	OVERWEIGHT	Score +0.29 · 75% confluence	—

Valuation + technical aligned bullish.

INVESTMENT THESIS / EXECUTIVE SUMMARY

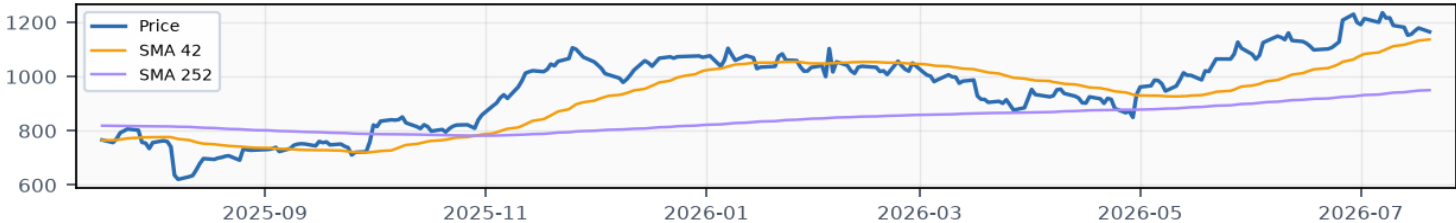
Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **HOLD** rating; blended target \$1240.46. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.04T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1249.45	P/E (TTM)	41.4x
P/B	33.4x	Beta	0.51
Avg Volume	3.27M	Analyst Rec.	Buy
Revenue (TTM)	\$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	\$5.96B
Gross Margin	82.8%	ROE	1.1%
EV/EBITDA	30.1x	Debt/Equity	139.0%
EPS (TTM)	\$28.18	Div Yield	59.0%

PRICE TREND · SMA 42 / 252

LLY · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income (\$M)	10,590	20,640	32,095	44,805	57,561
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS (\$)	11.88	23.15	35.99	50.24	64.55
P/E (x)	98.22	50.40	32.41	23.22	18.07

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$1136.99	Short-term trend	12m Momentum	+52.1%	
SMA (252d)	\$950.11	Long-term trend	3m Momentum	+26.9%	
RSI (14d)	36.3	Momentum oscillator	Ann. Volatility	32.5%	
Trend	Bullish		Sharpe Ratio	1.08	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+334.7%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$1136.99, SMA252=\$950.11	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	29.0%	B&H; 38.8%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$246.56	-78.9%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d...
Comps — Blended	\$1232.98	+5.7%	80%	Included in blend
Analyst consensus	\$1270.37	+8.9%	20%	Included in blend
Blended target	\$1240.46	+6.3%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	1.50%	19.43%	\$219.87B	\$246.56	-78.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$310.96B	35.6x	12.1x	13.6%	+4.9%
ABBV	AbbVie Inc.	\$448.90B	124.5x	17.2x	5.8%	+12.4%
PFE	Pfizer, Inc.	\$141.86B	19.0x	7.6x	11.8%	+5.4%
JNJ	Johnson & Johnson	\$605.13B	29.1x	18.4x	21.5%	+6.6%
LLY*	Eli Lilly and Company	\$1.04T	41.4x	30.1x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (55.5% YoY); High operating leverage (49.4% margin); Defensive profile (β=0.51) · Risks: Elevated leverage (D/E: 139%); Premium valuation (P/E: 41.4x) Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.